

International Financial Reporting Standard (IFRS-9) : Implementation Support Services

IFRS-9

Expected
Credit Loss
Provision :

$$ECL = PD \times LGD \times EAD$$

**1. Probability of Default
(PD)**

Probability that client will default on its repayment and account turns NPL.

PD is linked with Credit Risk assessed in the Credit Ratings.

**2. Loss Given Default
(LGD)**

What is the percentage of the loan amount that the FI is likely to lose.

**3. Exposure at Default
(EAD)**

Exposure of the bank on client at the time of account turning NPL.